Table 31.4 Breakout and Post-Breakout Statistics

Description	**Down Breakout**
Breakout direction	100% down
Performance of breakouts occurring near the 12-month low (L), middle (M), or high (H)	L –17%, M –16%, H –15%
Pullbacks occurrence	64%
Average time to pullback peaks	–6% in 6 days
Average time to pullback ends	12 days
Average decline for patterns with pullbacks	–15%
Average decline for patterns without pullbacks	–17%
Percentage price resumes trend	55%
Performance with breakout day gap	–17%
Performance without breakout day gap	–16%
Average gap size	$0.74

Height. Tall patterns perform better than short ones after the breakout. To use this finding, compute the height of the double top from the tallest peak to the lowest valley between the two peaks. Divide the height by the price of the lowest valley between the two peaks. If the result is greater than the median shown in the table, then you have a tall pattern.

Width. I didn't see any performance difference between wide and narrow patterns, but I will say that wide patterns tend to perform better than narrow ones in many other chart pattern types.

Height and width combinations. As one would expect, tall patterns outperform short ones regardless of whether they are wide or narrow. The numbers say to avoid short and wide patterns.

Table 31.6 shows volume-related statistics.

Volume trend. The volume trend from peak to peak is downward, which I found using linear regression.